

Monthly Money Waterfall

Revenue allocation: expenses, tax, reserves, owner comp & retained earnings

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ERS Revenue Waterfall — Infrastructure BC / Northern Health

Project: UHNBC Acute Care Tower — Prince George, BC

Portfolio Context: This is ERS Contract #5 — owner salary benchmark = \$15,000/month

MONTHLY REVENUE WATERFALL (STEADY STATE — MONTHS 2–47)

Every dollar earned in a typical operating month, from gross revenue to owner net.

Step	Item	Monthly Amount	Remaining
GROSS REVENUE	1,000 workers × \$105/night × 30 nights	\$3,150,000	\$3,150,000
↓	Rent — 100 × \$1,700 + 450 × \$2,200	(\$1,160,000)	\$1,990,000
↓	Heat / Gas — 550 units × \$75	(\$41,250)	\$1,948,750
↓	Electricity / Hydro — 550 × \$85	(\$46,750)	\$1,902,000
↓	Water & Sewer — 550 × \$40	(\$22,000)	\$1,880,000
↓	High-Speed Internet — 550 × \$80	(\$44,000)	\$1,836,000
↓	Tenant / Liability Insurance — 550 × \$40	(\$22,000)	\$1,814,000
↓	Contents Insurance (furniture) — 550 × \$25	(\$13,750)	\$1,800,250
↓	24/7 Guest Support — 550 × \$75	(\$41,250)	\$1,759,000
↓	Consumables Restocking — 550 × \$50	(\$27,500)	\$1,731,500
↓	Maintenance Reserve — 550 × \$25	(\$13,750)	\$1,717,750
↓	ERS Staff — GM, 2 PMs, 4 GSCs, 2 LCs, F&A;	(\$61,000)	\$1,656,750
=	OPERATING GROSS PROFIT	\$1,656,750	↓
↓	Amortized One-Time Costs — \$5,837,200 ÷ 48	(\$121,608)	\$1,535,142
=	CONTRIBUTION MARGIN	\$1,535,142	↓

Step	Item	Monthly Amount	Remaining
↓	Corporate Tax (11% CCPC SBD)	(\$168,866)	\$1,366,277
=	NET AFTER TAX	\$1,366,277	↓
↓	Operating Reserves (10%) — 5% buffer + 5% furniture/asset	(\$153,628)	\$1,212,649
↓	Owner Salary — 5-contract benchmark	(\$15,000)	\$1,197,649
=	NET RETAINED (this contract)	\$1,197,649/month	—

ANNUAL SUMMARY

Metric	Monthly	Annual	48-Month Total
Gross Revenue	\$3,150,000	\$37,800,000	\$151,200,000
Total OPEX	(\$1,493,250)	(\$17,919,000)	(\$71,676,000)
Operating Gross Profit	\$1,656,750	\$19,881,000	\$79,524,000
One-Time (amortized)	(\$121,608)	(\$1,459,300)	(\$5,837,200)
Contribution Margin	\$1,535,142	\$18,421,700	\$73,686,800
Corporate Tax (11%)	(\$168,866)	(\$2,026,388)	(\$8,105,548)
Net After Tax	\$1,366,277	\$16,395,316	\$65,581,252
Reserves (10%)	(\$153,628)	(\$1,843,530)	(\$7,368,680)
Owner Salary	(\$15,000)	(\$180,000)	(\$720,000)
Net Retained	\$1,197,649	\$14,371,786	\$57,492,572

MARGIN STACK

Level	Amount	% of Revenue
Gross Revenue	\$3,150,000	100.0%
After Rent	\$1,990,000	63.2%
After All OPEX	\$1,656,750	52.6%
After One-Times (amortized)	\$1,535,142	48.7%
After Tax (11%)	\$1,366,277	43.4%
After Reserves (10%)	\$1,212,649	38.5%
After Owner Salary	\$1,197,649	38.0%

PORTFOLIO SCALING TABLE

How this contract performs alongside others in the ERS portfolio. Assumes all contracts are similar scale.

Portfolio Size	This Contract (Monthly)	Total Portfolio Net After Tax	Owner Salary	Net Retained (All Contracts)	Annual Net Retained
1 contract	\$1,197,649	\$1,366,277	(\$8,000)	\$1,205,649	\$14,467,788
3 contracts	\$1,197,649 × 3	\$4,098,831	(\$12,000)	\$3,614,831	\$43,377,972
5 contracts	\$1,197,649 × 5	\$6,831,385	(\$15,000)	\$5,665,260	\$67,983,120
10 contracts	\$1,197,649 × 10	\$13,662,770	(\$20,000)	\$11,301,145	\$135,613,740

Note: At 5 contracts, ERS would generate ~\$6.8M/month net after tax and reserves, before owner draw — roughly \$82M/year before distributions. These are exceptional returns for a services-based workforce housing business.

THIS CONTRACT'S CONTRIBUTION TO A 5-CONTRACT PORTFOLIO

	Monthly	Annual
Gross revenue from this contract	\$3,150,000	\$37,800,000
This contract's share of portfolio revenue (÷5)	20%	20%
Net retained from this contract	\$1,197,649	\$14,371,786
Owner salary (allocated from 5-contract benchmark)	\$3,000 (1/5 of \$15K)	\$36,000
Net retained attributable to this contract	\$1,194,649	\$14,335,786

RESERVE FUND ALLOCATION

Reserve Type	Monthly Allocation	Purpose
Operating buffer (5%)	\$76,757	Cash flow protection, emergency expenses
Furniture / asset reserve (5%)	\$76,757	Furniture replacement, unit wear-and-tear
Total Reserves	\$153,628	

After 48 months, reserves total: \$7,374,144 — sufficient to fully re-furnish the entire 550-unit fleet or fund two future contract deployments.

TAX NOTES

- **Rate:** 11% CCPC Small Business Deduction rate (Federal 9% + BC 2%)
- **Applies to:** Active business income from housing management services
- **Furniture depreciation:** \$4,875,000 furniture asset claims CCA Class 8 (20% declining balance). Year 1 CCA deduction reduces taxable income materially — consult tax counsel.
- **Quarterly installments:** At this income level, CRA requires quarterly tax installments. Estimated quarterly payment: ~\$2,026,387/quarter (Year 1 may differ due to CCA).

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